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FUNDRAISING

SAFEs, convertible notes and priced rounds

5 differences founders should understand

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1

A priced round sets a valuation

Investors buy shares at an agreed price per share. Ownership is clear straight away, though legal costs and negotiation are usually higher.

2

A convertible note is debt that converts

The investor lends money that later converts to shares, usually at the next priced round. It normally carries interest and a maturity date.

3

A SAFE is not debt

A simple agreement for future equity gives the investor shares at a later event. It has no interest and no repayment date. Terms vary, and Australian versions and tax treatment differ.

4

Caps and discounts matter

Most notes and SAFEs set a valuation cap, a discount or both. These decide how much of the company the investor ends up with.

5

Model the dilution early

Stack several SAFEs or notes and the dilution surprises founders at the priced round. Run the numbers before you sign.

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Pass it on

Share it with a founder planning a raise.